

because the other \$20,000 would go to pay investment fees. Someone in this scenario would actually need to save \$2 million to provide a \$40,000 income and pay \$40,000 fees every year. Does that 1 to 2 percent still look like a little number?

When the 4% Rule and sequence of returns don't work in your favor, you may only want to take 3 percent from your portfolio. But paying fees of "only" 2 percent means two-thirds of your money goes to fees while being able to use only one third to support your lifestyle.

Index funds allow you to invest with minimal fees. A portfolio of index funds can be owned for 0.1 percent or less. On the same \$1 million portfolio, a portfolio with 0.1 percent fees would cost only \$1,000. Understanding the 4% Rule is a simple and powerful way to see the impact of seemingly small fees on your portfolio.

The 4% Rule not only emphasizes the importance of investing fees, it demonstrates the impact of your spending on achieving FI. Every \$1,000 you spend annually requires you to accumulate \$25,000 to support a 4 percent withdrawal rate. Taken a step further, every monthly expense requires you to save three hundred times that amount to support it ($25 \times 12 = 300$). Knowing this can be motivational when making spending decisions. Is it worth it to cut